

mon stocks, which presumably are available even when the general market is not particularly low. In either case the “margin of safety” resides in the discount at which the stock is selling below its minimum intrinsic value, as measured by the analyst. But with respect to the hazards and the psychological factors involved, the two approaches differ considerably. Let us discuss them in their order.

*Factors Complicating Efforts to Exploit General Market Swings.* A glance at Chart A in “Introduction to the Second Edition,” shows the fluctuations of common-stock prices since 1900, would suggest that prices are recurrently too high and too low and that consequently there should be repeated opportunities to buy stocks at less than their value and to sell them out later at fair value or higher. A crude method of doing this—but one apparently encouraged by the chart itself—would consist simply of drawing a straight line through the approximate mid-points of past market swings and then planning to buy somewhere below this line and to sell somewhere above it.

Perhaps such a “system” would be as practical as any, but the analyst is likely to insist on a more scientific approach. One possible refinement would operate as follows:

1. Select a diversified list of leading industrial common stocks.
2. Determine a base or “normal” value for the group by capitalizing their average earnings at some suitable figure, related to the going long-term interest rate.
3. Determine a buying point at some percentage below this normal value and a selling point above it. (Or buying and selling may be done “on a scale down” and “on a scale up.”)

A method of this kind has plausible logic to recommend it, and it is favored also by an age-old tradition that success in the stock market is gained by buying at depressed levels and selling out when the public is optimistic. But the reader will suspect at once that there is a catch to it somewhere. What are its drawbacks?

As we see it, the difficulties attending this idea are threefold: First, although the *general* pattern of the market’s behavior may be properly anticipated, the specific buying and selling points may turn out to have been badly chosen, and the operator may miss his opportunity at one extreme or the other. Second, there is always a chance that the character of the market’s behavior may change significantly, so that a scheme of